MODULE 6 - SUPPLEMENTAL RESOURCE

Pricing Your Product

Physical products, digital products, and everything in between

This guide was created with AI assistance as a starting-point framework. For complex product businesses or wholesale arrangements, an accountant or business advisor can help you build something more specific to your numbers.

First: know what it actually costs you

Before you can price anything, you need to know your cost of goods - everything that goes into making or delivering the product. If you skip this step, you can end up selling things at a loss without realising it.

For physical products, add up:

- Materials and supplies
- Packaging (boxes, tissue paper, tape, labels, stickers)
- Your time to make it - at a rate you'd actually want to earn
- Postage or shipping costs (if you're covering these)
- Platform fees (Etsy takes a listing fee + transaction fee; your own site has payment processing costs - Stripe is roughly 1.75% + 30c per transaction in Australia)

For digital products, add up:

- Your time to create it (one-off, but it matters)
- Platform or delivery fees (e.g. if you use a tool to deliver it)
- Payment processing fees (same as above - around 1.75% + 30c per sale through Stripe)

WORTH KNOWING

Digital products have almost no cost of goods once they're made - which means your price is almost entirely based on value, not cost. That's a good thing. Don't let the low cost of delivery talk you into underpricing.

Pricing physical products

There are two common approaches, and most product businesses use a version of both depending on what they're selling and who they're selling to.

COST-PLUS PRICING

Cost of goods × markup = retail price

Keystone markup (the standard starting point): cost × 2 = retail price
Example: candle costs $12 to make → retail price $24

Many product businesses aim for 3-4x cost, especially handmade or boutique products.
Example: candle costs $12 → retail price $36-$48

Markup vs. margin - what's the difference?

These two words get used interchangeably but they mean different things. You don't need to memorise the formulas - just know that when someone asks for your margin, they mean what percentage of the sale price is profit. When someone asks for your markup, they mean how much you added on top of cost.

Markup

How much you added on top of cost, expressed as a percentage of cost.

Cost $12, price $24 = 100% markup

Margin

How much of the sale price is profit, expressed as a percentage of the sale price.

Cost $12, price $24 = 50% margin

If you sell wholesale

Wholesale means selling to a retailer or stockist who then sells to the public. Wholesale prices are typically 50% of your retail price - which means your cost of goods needs to be low enough that 50% of retail still leaves you with a profit.

WHOLESALE PRICING CHECK

Cost of goods × 2 = wholesale price

Wholesale price × 2 = retail price

Example: cost $10 → wholesale $20 → retail $40
If your retail price can't support this, wholesale may not be viable yet - and that's fine.

Pricing digital products

Digital products (e-books, templates, guides, courses, presets, printables) are priced on value - not cost. The question isn't "what did it cost me to make?" It's "what is this worth to the person buying it?"

How to think about value:

- **What problem does it solve?** A template that saves someone three hours of work is worth more than three hours at minimum wage.
- **What outcome does it create?** Something that helps someone earn money, save time, or avoid a mistake can be priced accordingly.

- **What do comparable products sell for?** Look at what others in your space charge for similar things - this gives you a market anchor.

COMMON MISTAKE

Pricing a digital product at $5 because "it only took me an hour to make." The time to create it is not the value. The value is what it does for the person using it. A single-page template that saves someone days of stress is not a $5 product.

Loose price anchors for digital products:

- **Simple printable or template:** $7 - $27
- **Mini guide or workbook:** $17 - $49
- **Comprehensive guide or toolkit:** $47 - $149
- **Short course or video series:** $97 - $333
- **Full course with depth and support:** $333 - $997+

These are anchors, not rules. Your price depends on your audience, your niche, and what the product actually delivers.

Perceived value - the part nobody talks about

Price signals quality. A product priced too low can actually put people off - they wonder what's wrong with it, or assume it won't work. A higher price communicates that you believe in what you've made.

If your gut says "that's too cheap to be any good" when you look at a competitor's product - your customer's gut says the same thing when they look at yours. Price for the quality you're actually delivering.

Other things that affect perceived value:

- Presentation - good packaging, professional photos, clear descriptions
- Specificity - "candle for anxious people" feels more valuable than "soy candle"
- Social proof - reviews, testimonials, showing the product in use

- Scarcity - limited batches, made-to-order, small runs

Before you set your price - checklist

- [ ] I know exactly what it costs to make or deliver this product (materials, time, fees, postage)
- [ ] My price covers those costs and leaves me with a profit I'm comfortable with
- [ ] I've looked at what comparable products sell for
- [ ] I've thought about the value this creates for the buyer - not just what it cost me to make
- [ ] I can say my price out loud without flinching
- [ ] If I'm selling wholesale, my retail price supports a 50% wholesale discount and I still make money
- [ ] I've factored in platform and payment processing fees

One last thing

Your first price is not your forever price. Start at a number you can say without cringing, that covers your costs, and that feels fair for what you're offering. Review it when your costs change, when your product improves, or when demand is consistently higher than you can meet. Pricing is not a one-time decision.

FROM JESS

Product pricing genuinely is its own area of expertise - this guide gives you a solid starting point, but if you're building a serious product business, talking to someone who specialises in it (a product-based business mentor or accountant) is worth it. You deserve real support, not just a best guess.

This guide was created with AI assistance and is provided for educational purposes as part of the Solid Ground course.